

Economy

Summer travel 2026: Resilient, but uneven

13 May 2026

Key takeaways

- Summer travel plans appear resilient overall, despite higher oil and gasoline prices, though consumers are adjusting at the margin. According to the 2026 Bank of America Summer Travel Outlook, around 30% of respondents say higher gas prices won't change their summer travel plans, but others are looking to take fewer trips or cut back on items like accommodations.
- However, a "K-shaped" pattern appears to be emerging this travel season. Lower-income households are much more likely to have no travel plans (nearly 40%), and Bank of America card data shows their travel-related spending is down year-over-year (YoY) so far in 2026. By contrast, middle- and higher-income households are seeing stronger travel spending.
- Domestically, California, Florida, Texas and New York are the top states to visit. Internationally, travelers favor North America (ex US) and Europe.

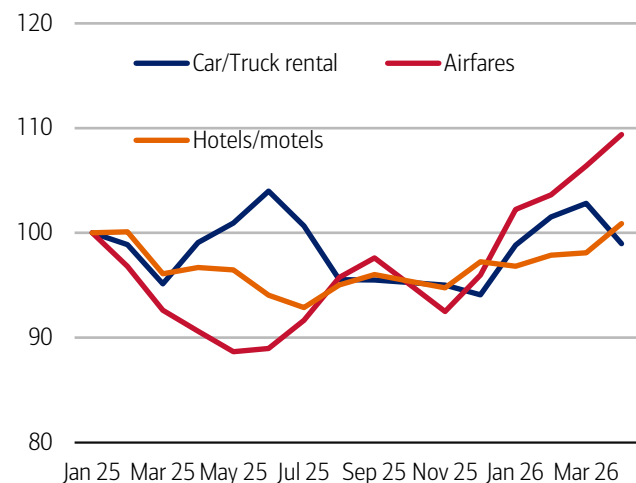
Will higher fuel prices impact summer travel plans?

The sharp rise in oil prices in March – by over \$30 a barrel – quickly fed through to higher gasoline prices at the pump for Americans. Additionally, higher oil prices put significant upward pressure on airfares, with the consumer price index (CPI) measure of fares rising 6% between February and April (Exhibit 1).

With higher costs for both driving and flying, are consumers cutting back on their summer vacation plans? The [2026 Bank of America Summer Travel Outlook](#) (conducted between March 26 and April 3) provides useful insights. For one, around 30% of people who were asked “How have gas price changes affected your travel plans this summer?” responded by saying they are not changing their plans at all (Exhibit 2). But while that is “good news,” the survey also highlights that some respondents are planning to make fewer trips, while others intend to trim their budgets for things like accommodations.

Exhibit 1: The oil shock is showing up in higher airfares

Consumer price indices for select categories (seasonally adjusted, index January 2025 = 100)

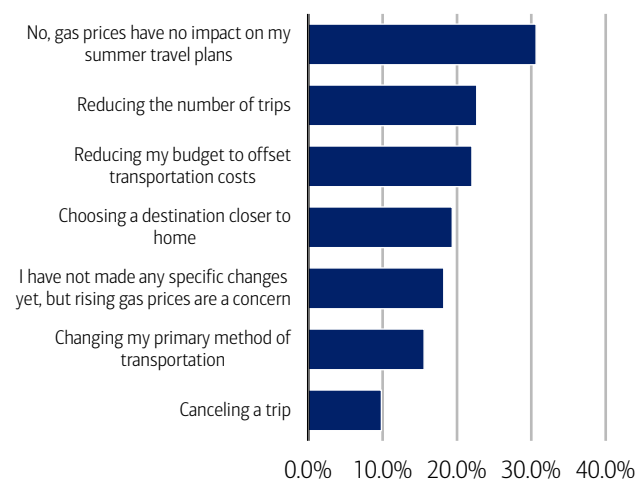


Source: Haver Analytics

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Exhibit 2: Most travelers are adjusting, not canceling, their plans in response to the gas price hike

% responses to “How have gas price changes affected your travel plans this summer?”



Source: 2026 Bank of America Summer Travel Outlook

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Overall, the impact of higher energy prices on summer travel appears relatively limited so far. In our view, it could be that many people have already locked in their plans: 47% of survey respondents said they'd already planned a trip for this summer, up from 38% in 2025 (Exhibit 3). And the overall share planning not to travel this summer is lower in this year's Travel Survey than in 2025.

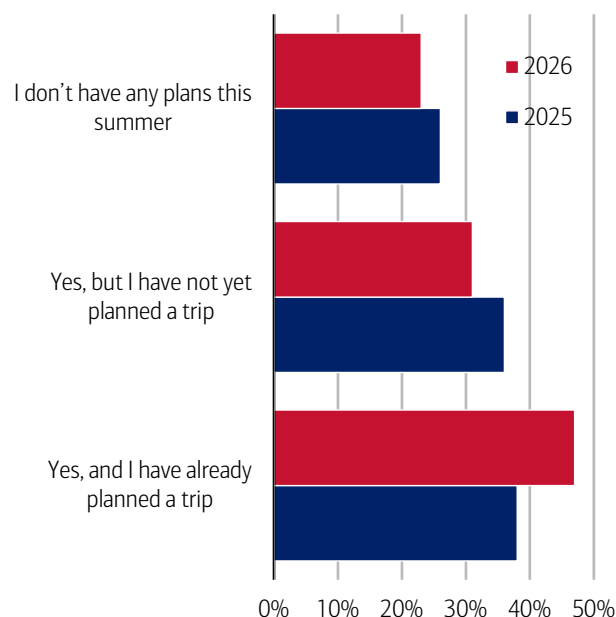
What might explain this relatively positive outlook? In our view, one important factor is that overall consumer spending growth has been strong so far this year. And a key reason for this is that many households received meaningfully larger tax refunds in 2026 than in 2025, thanks to stimulus from the One Big Beautiful Bill Act (OBBBA). Bank of America internal data suggests that many households receiving these refunds have been spending them on airlines and lodging (for more, read our publication: [Consumer Checkpoint: April showers](#)).

But there is a “K” shape to holiday plans

The consumer picture overall, however, masks divergences across income cohorts, which are also evident in the 2026 Travel Survey. Exhibit 4 shows that lower-income households are much more likely to say they don't plan to travel this summer (nearly 40%) and a smaller percentage say they have already made plans. So, in other words, there appears to be a “K” shape in vacation plans in 2026.

Exhibit 3: More respondents had already planned a trip this year than last

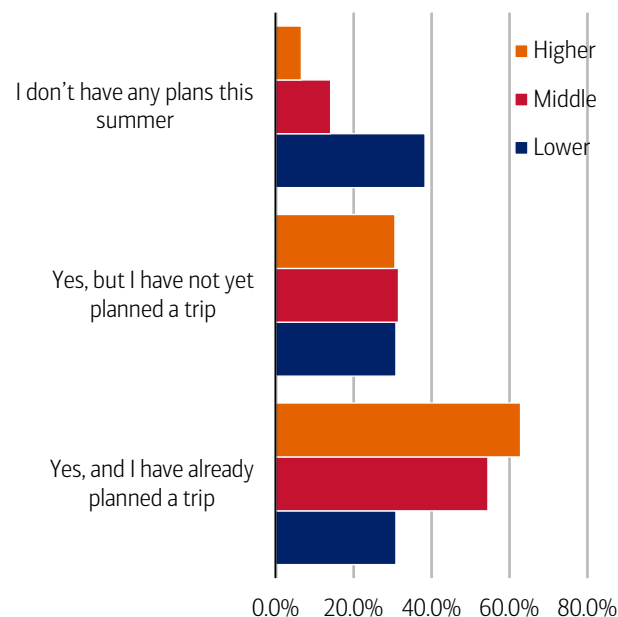
% responding “Are you planning to travel this summer?” in 2025 and 2026 Summer Travel Surveys (%)



Source: 2025 and 2026 Bank of America Summer Travel Outlooks
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Exhibit 4: By income category, lower-income households are less likely to have already booked a trip

% responding “Are you planning to travel this summer?” in 2026 Summer Travel Survey by income (%)

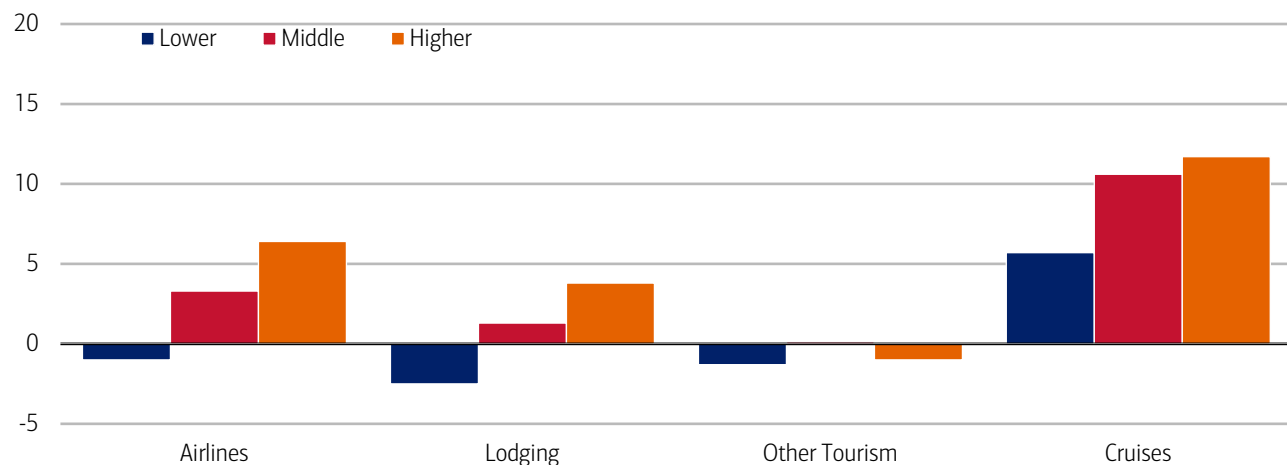


Source: 2026 Bank of America Summer Travel Outlook
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This same “K” shape in travel can also be seen in credit and debit card spending data. In particular, Bank of America internal data on aggregated credit and debit card spending per household reveals a weaker picture for lower-income households than for middle- and higher-income households (Exhibit 5). In fact, nominal year-over-year (YoY) spending growth was negative for lower-income households in airlines, lodging and tourism-related spending from January 1 through April 30. One exception is cruise spending, where lower-income households saw strong growth over the same period, albeit still below that of wealthier households.

Exhibit 5: Across most travel-related spending categories there is a “K” shape, with lower-income spending weakest

Total credit and debit card spending per household on lodging, airlines, select other travel-related categories* and cruises by household income terciles (% change January 1- April 30, 2026, YoY)



Source: Bank of America internal data

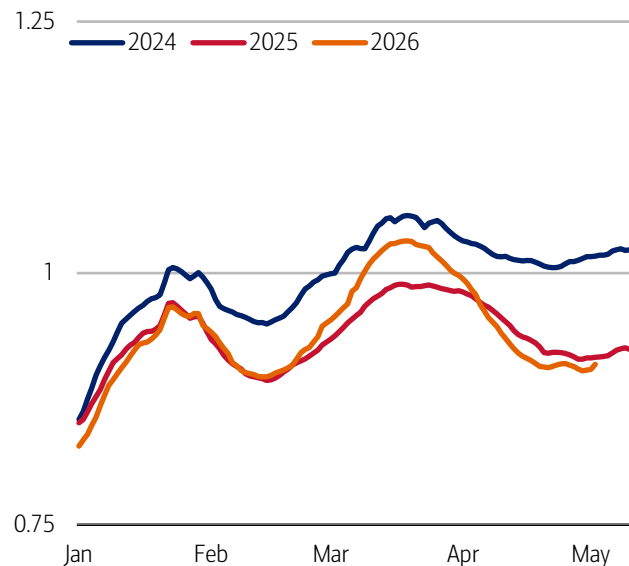
* Motor home and recreational vehicle (RV) rentals, tourist attractions and exhibits, amusement parks, aquariums and zoos.

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One of the likely reasons for rising spending growth on airfares by middle- and higher-income households is simply that the price of flights is rising. Looking at the number of card transactions on airlines suggests that throughout most of 2026, spending growth also reflected strong transaction volumes (Exhibit 6). But more recently in April, volumes appear to have slowed in airline transactions and may also have done so in lodging, too (Exhibit 7).

Exhibit 6: Airline transactions have weakened lately...

Number of credit and debit card transactions per household on airlines (28-day moving average, index January 2024 = 1)

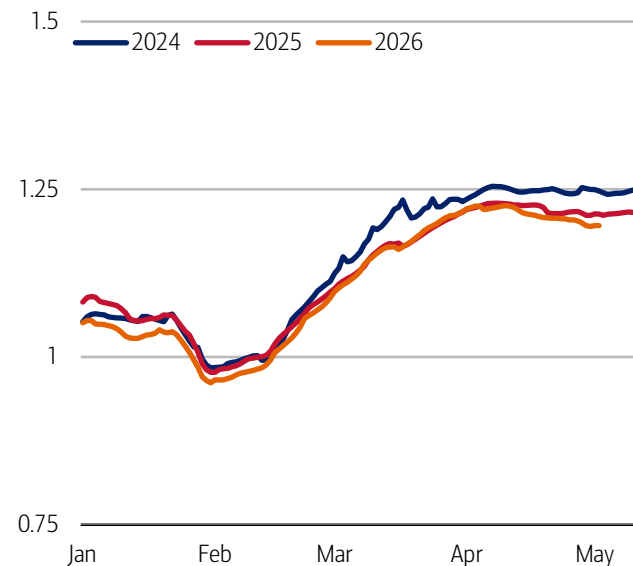


Source: Bank of America internal data

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Exhibit 7: ...possibly also in lodging

Number of credit and debit card transactions per household on lodging (28-day moving average, index January 2024 = 1)



Source: Bank of America internal data

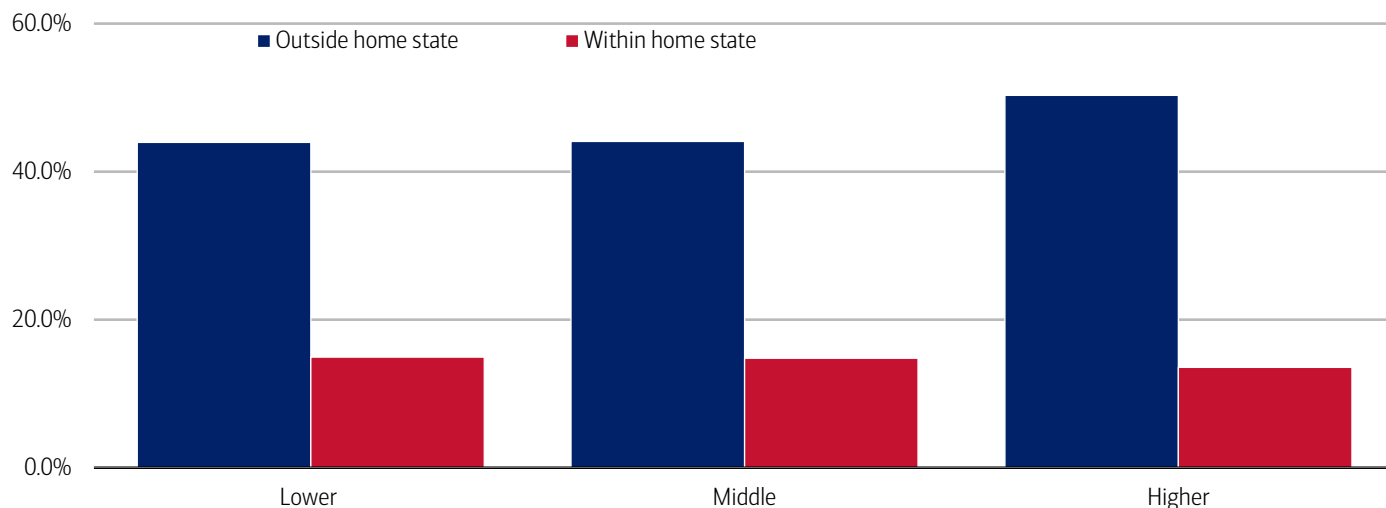
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Domestically, sunshine remains a draw in 2026

Traveling domestically remains the top choice for many households: in the 2026 Travel Survey, over 40% of respondents across all income cohorts said they plan to travel in the US but outside their home state (Exhibit 8).

Exhibit 8: The most common destination among respondents is within the US, but outside their home state

% of respondents planning to travel within the United States by income category (%)



Source: 2026 Bank of America Summer Travel Outlook

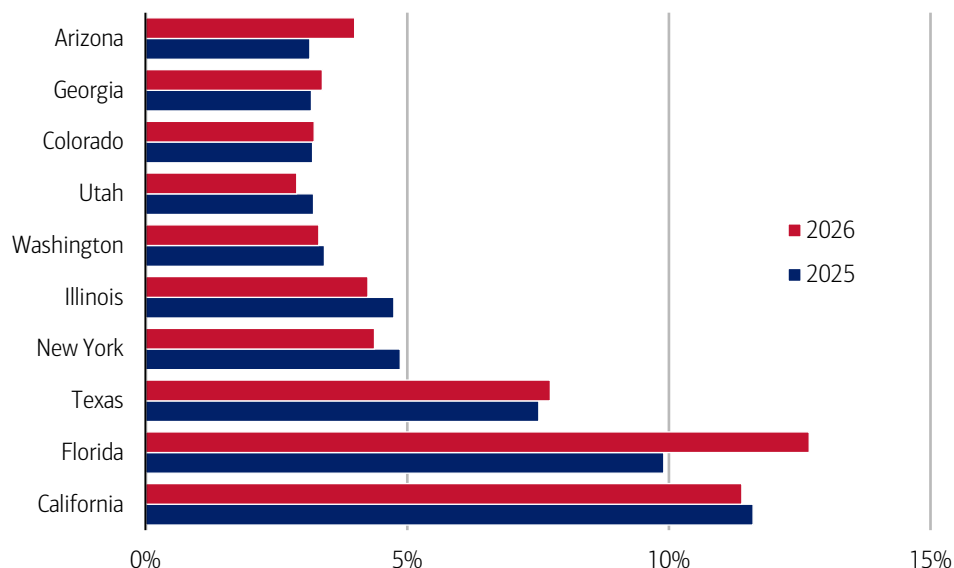
Note: Respondents can pick multiple destinations.

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Where might people go in the US? We use Bank of America internal data from households making brick-and-mortar card transactions more than 500 miles from their home address over 2025 as a proxy for spending while on a “trip.” Using this approach, we find California, Florida, Texas and New York were the top four states last year (Exhibit 9), positions they also occupied in 2024. And looking at the data on travel spending over the first four months of 2026, a similar pattern emerges.

Exhibit 9: Florida and California appear to be popular domestic destinations

Number of households making brick-and-mortar transactions more than 500 miles from home address, highest 10 states as a % of all states for 2025 (full year) and 2026 (first 18 weeks)



Source: Bank of America internal data

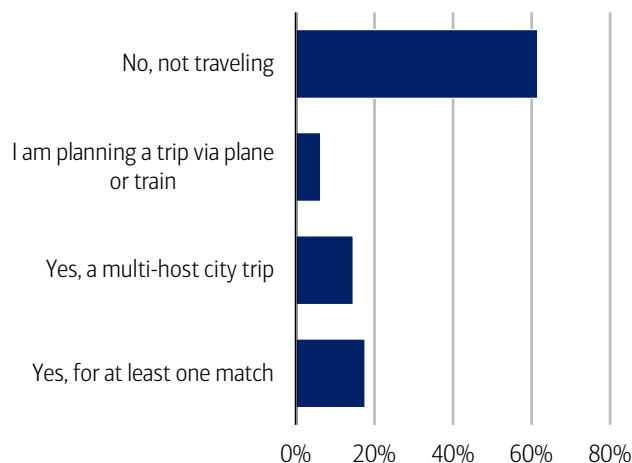
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For some, the FIFA World Cup 2026™ is factored into their domestic and perhaps wider North American travel plans (games are also played in Canada and Mexico). The 2026 Travel Survey finds around 40% of respondents are planning a trip to attend or

experience the tournament (Exhibit 10). Indeed, around 40% of respondents also suggest they would travel to a host city to experience the atmosphere even if they didn't have tickets for a match (Exhibit 11).

Exhibit 10: Around 40% of respondents are planning to experience soccer this summer...

% responses to question, "Are you planning a road trip to attend or experience the 2026 FIFA World Cup™?"

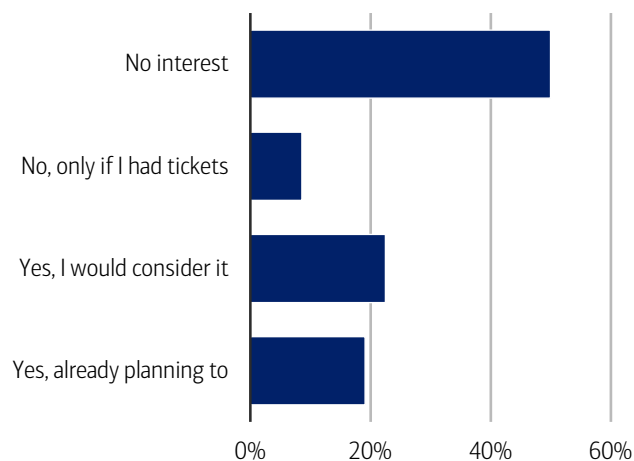


Source: 2026 Bank of America Summer Travel Outlook
Note: Respondents can pick multiple destinations.

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Exhibit 11: ...and some respondents would go to a city to experience the vibe even without a match ticket

% responses to question, "Would you travel to a 2026 FIFA World Cup™ host city to experience the atmosphere, even if you don't have tickets to attend a match?"



Source: 2026 Bank of America Summer Travel Outlook
Note: Respondents can pick multiple destinations.

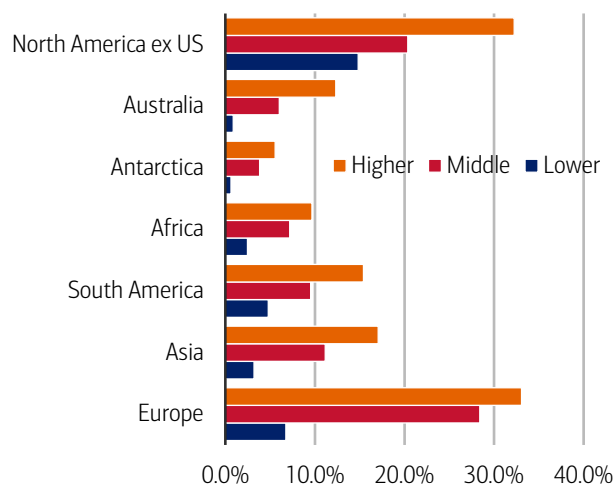
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Overseas, Europe retains the top spot in 2026

While all income cohorts appear to see domestic travel as an option in 2026, it's really around international travel where the "K" shape becomes most apparent. Fewer lower-income respondents in the 2026 Travel Survey say they plan to go abroad and those that do are planning on sticking to North America (Exhibit 12). On the other hand, middle- and higher-income respondents' plans appear to be more varied. North America (excluding the US) is popular, but Europe is a big draw. Relative to the 2025 Travel Survey, Europe has surged in popularity (Exhibit 13).

Exhibit 12: North America (ex US) and Europe are strong draws for vacationers

Responses to "Which continents are you planning to travel to?"

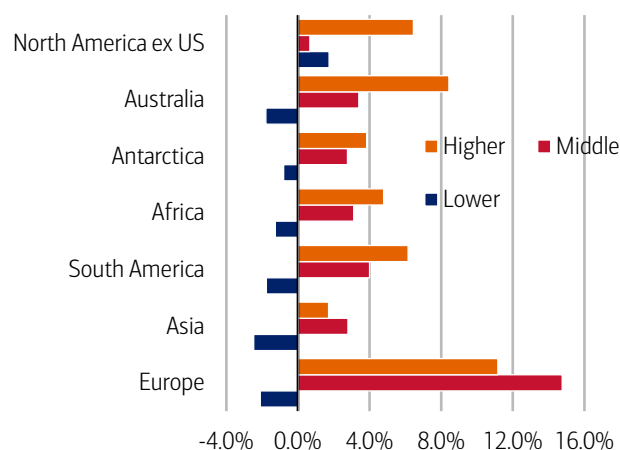


Source: 2026 Bank of America Summer Travel Outlook
Note: Respondents can pick multiple destinations.

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Exhibit 13: Relative to 2025, Europe has become more popular with higher- and middle-income travelers

Responses to "Which continents are you planning to travel to?", change relative to 2025 results (percentage points)



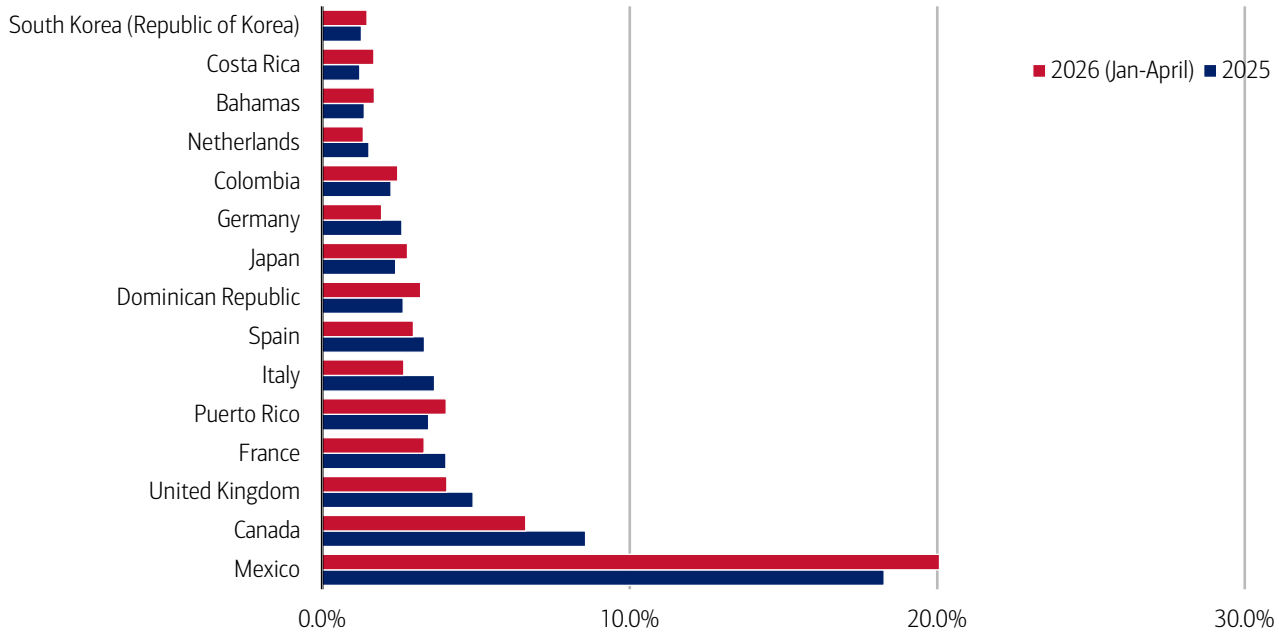
Source: 2025 and 2026 Bank of America Summer Travel Outlooks
Note: Respondents can pick multiple destinations.

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Digging deeper and using Bank of America internal data on customers who have made an in-person transaction outside the US shows that over the first four months of 2026, the top spots in Europe were the United Kingdom, France and Italy. Asian destinations also remain popular, including Japan and South Korea (Exhibit 14).

Exhibit 14: Mexico is popular so far this year

Bank of America credit and debit card customer households making an in-person transaction in specified countries (% share of total)



Source: Bank of America internal data

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Overall, in our view, the 2026 Bank of America Summer Travel Outlook and our internal card data gives the impression that many consumers are fairly reluctant to make big changes to their summer plans despite cost pressures from higher oil prices. One reason is likely that many households appear to have already decided where to go and potentially booked. Another is that the stimulus from the OBBBA may be providing some consumers with an offset to higher costs, at least for now.

But it does appear that travel spending in April may have slowed – highlighting that there are risks that for some consumers the shock from higher gas prices and airfare costs is weighing more heavily on their decision making. This is likely to be the case for lower-income households in particular.

Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to childcare, rent, insurance, insurance, public transportation, and tax payments. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category.

Durables spending is defined as spending on electronics, building materials, auto and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Unless otherwise noted lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income,

including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Major grocery categories include sugar and sweets, juices and other non-alcoholic beverages, bakery products, processed fruits and vegetables, fresh fruit and vegetables, coffee and tea, fats and oils, milk, cereal and cereal products, other, cheese, and meats, poultry and fish, Other includes soups, snacks, frozen and freeze-dried prepared foods, and spices, seasonings, and condiments.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995
3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

In-person debit transactions utilized to analyze time-of-day spending considers debit card transactions where a personal identification number is input to complete the transaction.

The Bank of America 2026 Summer Travel Outlook survey was conducted online between March 26 and April 3. The survey consisted of 2,004 respondents throughout the U.S. Respondents in the study were age 18+ and were representative of the composition of the U.S. Census for age, gender, household income and Census region. Lower, middle and higher household income cuts in the survey were based on quantitative estimates of annual household income before taxes. They are defined as follows: lower-income households: \$0-\$66,000; middle-income households: \$66,001-\$130,000; higher-income households: >\$130,000.

Additional information about the methodology used to aggregate the data is available upon request.

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2026 Bank of America Summer Travel Outlook

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Economy

Consumer Checkpoint: April showers

12 May 2026

Key takeaways

- Spending growth was strong in April, according to Bank of America internal data. Total credit and debit card spending per household rose 4.8% year-over-year (YoY), up from 4.3% YoY in March. Excluding gasoline, card spending was still a strong 4.0% YoY. However, spending growth did slow in April from March across multiple discretionary "nice-to-have" categories.
- The "K" shape in spending and wage growth persists, with higher-income households faring better than other cohorts. And we see signs of this particularly with lower- and middle-income households easing back on discretionary spending in April, while their higher-income counterparts continued to power forward, according to Bank of America internal data.
- Households have some near-term buffers to support their spending, according to Bank of America internal data, but they are uneven. Lower-income households likely have the least capacity to finance spending through credit, while tax refund benefits have skewed towards higher-income households. Still, households appear to have saved around half of their refunds so far, which may have helped to weather higher gas prices.

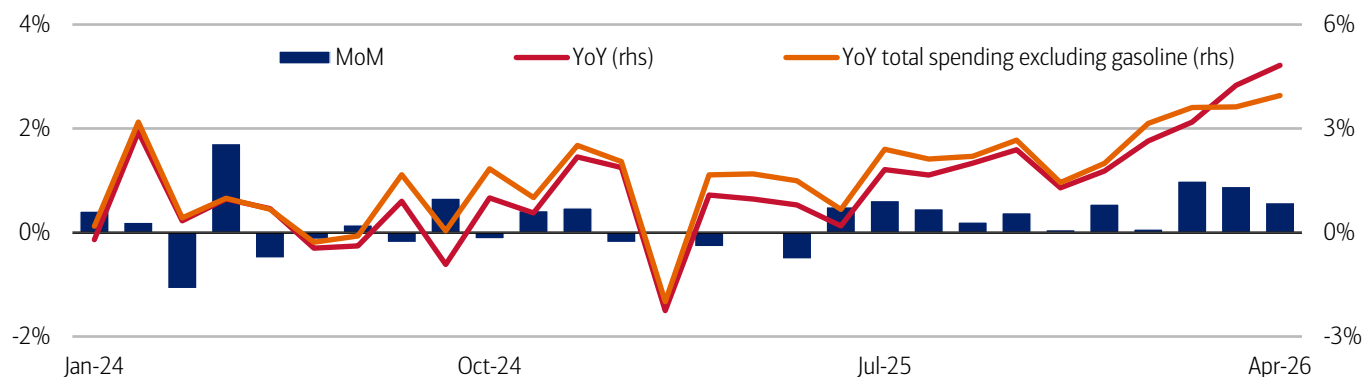
Consumer Checkpoint is a regular publication from Bank of America Institute. It aims to provide a holistic and real-time estimate of US consumers' spending and their financial well-being, leveraging the depth and breadth of Bank of America proprietary data. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial conditions or performance of Bank of America.

With or without gasoline, spending was strong in April

Total credit and debit card spending per household increased 4.8% year-over-year (YoY) in April 2026, the strongest monthly growth in the last three years. This followed the already solid 4.3% YoY increase in March (Exhibit 1). While higher gasoline prices boosted spending, spending excluding gas still rose 4.0% YoY – the fastest pace in three years and up from 3.6% last month. Seasonally-adjusted (SA) spending per household increased 0.6% month-over-month (MoM) in April, easing from the solid 0.9% MoM increase the month before. Excluding higher gasoline spending, the MoM rise in total spending was a slightly more muted 0.5%, but an improvement from the nearly flat ex-gas growth seen in March.

Exhibit 1: Spending growth, both including and excluding gasoline, continued to strengthen YoY in April

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, SA) and (monthly, YoY%, non-SA, right-hand side (rhs))



Source: Bank of America internal data

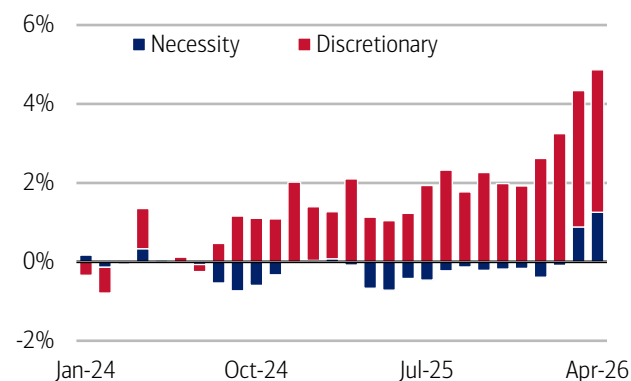
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Despite the rise in gasoline prices, discretionary spending is still contributing more to YoY total card spending growth than outlays on necessities. In fact, before March, necessity spending had not made a meaningfully positive contribution to spending

growth since August 2024 (Exhibit 2). And while March and April have both seen upward contributions from necessities to overall spending growth, with a 1.1 percentage points (pp) contribution in April, the big picture remains that services and retail (excluding gas) are still making the largest contributions to growth (Exhibit 3).

Exhibit 2: Before March 2026, discretionary spending contributed all of the positive growth in spending since April 2024

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)

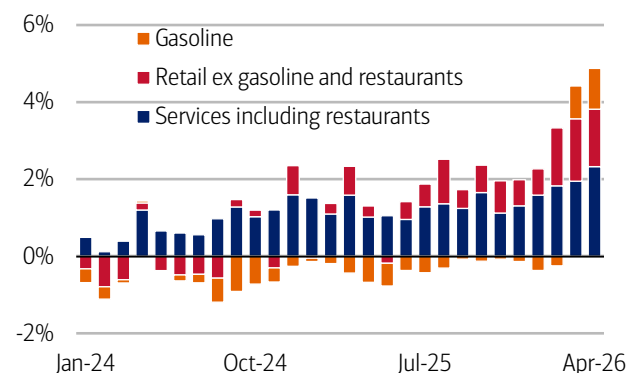


Source: Bank of America internal data

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Exhibit 3: Services accounted for the majority of spending growth over the past two years

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



Source: Bank of America internal data

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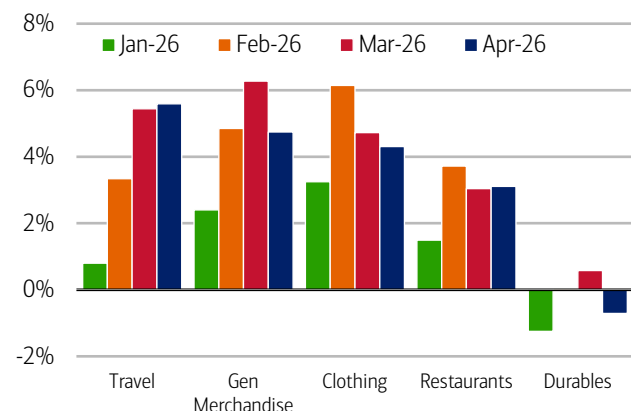
Within discretionary spending, YoY spending growth on travel and restaurants improved slightly in April, while general merchandise and clothing saw slowing momentum relative to March (Exhibit 4).

Bank of America internal card data on transactions can give us some idea whether strong spending growth is reflecting rising volumes or higher prices. General merchandise, travel (airline and lodging), restaurants and clothing have all shown increasing YoY growth in the number of transactions since the beginning of the year (Exhibit 5). Notably, though, transaction growth in April has flattened for travel and restaurants from the prior month.

However, in travel and clothing, spending growth has risen noticeably faster than transactions. In our view, this likely reflects increased prices in these areas from both the recent oil price shock and earlier tariff hikes. In fact, while the YoY growth in transactions was still positive for travel, it was just above zero for clothing in April. This may reflect not just higher prices but also a possible shift in consumers purchasing their apparel through different channels, such as big box stores (general merchandise), in order to save money. Additionally, some of the growth in general merchandise spending and transactions may also reflect consumers pivoting their necessity spending to these types of retailers as opposed to more discretionary purchases.

Exhibit 4: Spending growth slowed for general merchandise and clothing in April, while durables decreased

Spending per household, based on Bank of America card data, across select categories (monthly, SA, YoY%)



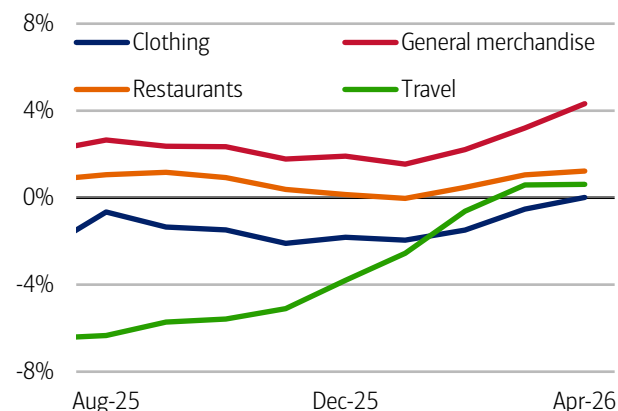
Source: Bank of America internal data

Note: Durables excludes electronics but includes building materials, furniture and autos. Travel includes airlines and lodging.

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Exhibit 5: YoY growth in transactions was positive for general merchandise, restaurants and travel

The number of transactions per household, based on Bank of America card data, across select categories (monthly, SA, YoY%)



Source: Bank of America internal data

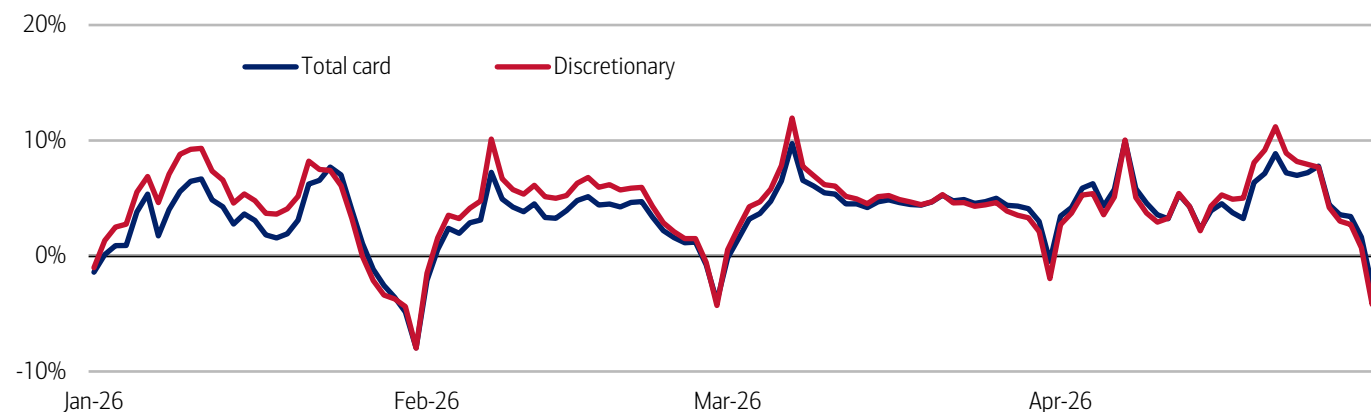
Note: Durables excludes electronics but includes building materials, furniture and autos. Travel includes airlines and lodging.

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Looking at the 7-day moving average of total card spending per household through the end of April suggests that spending growth may have eased more significantly towards the end of the month, particularly for discretionary spending. However, the data around the end of the month is typically volatile, so it may be premature to draw firm conclusions (Exhibit 6).

Exhibit 6: Spending growth slowed more at the end of April than it did in March, but it was in-line with the decrease seen at the end of February

Total card and discretionary spending per household, based on Bank of America data (7-day moving average, YoY%, non-SA)



Source: Bank of America internal data

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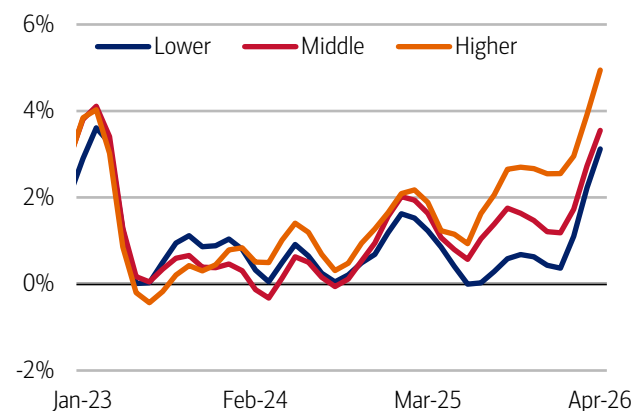
Lower- and middle-income households eased their discretionary spending

Across income cohorts, April card spending rose 3.1% YoY for lower-income households and 3.6% YoY for middle-income households, while higher-income households saw stronger growth at 4.9% YoY (Exhibit 7). Despite improving growth across all income groups in April, the gap between higher-income households and other cohorts widened further.

While total spending growth rose in April for all income cohorts, we see signs of pressure building on discretionary spending from the impact of higher gas prices. In particular, while higher-income households continued to ramp up discretionary spending in April, lower- and middle-income groups saw a modest slowdown from prior months (Exhibit 8).

Exhibit 7: Higher-income households' spending rose to 4.9% YoY in April compared to 3.1% YoY for lower-income households

Total credit and debit card spending per household, according to Bank of America card data, by household income terciles (3-month moving average, YoY%, SA)

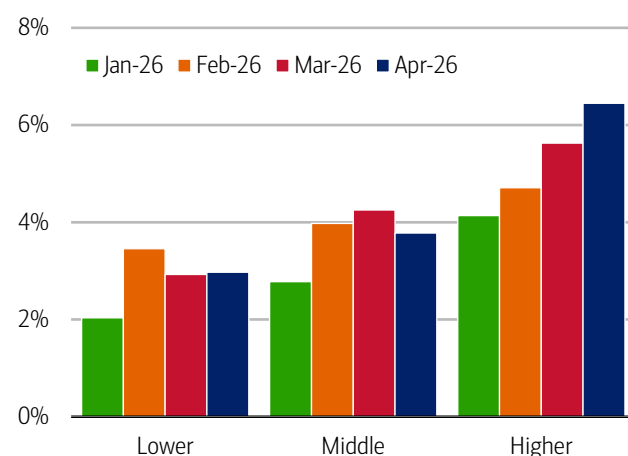


Source: Bank of America internal data

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Exhibit 8: Discretionary spending growth was more muted for lower- and middle-income households

Discretionary card spending per household, according to Bank of America card data, by household income terciles (monthly, YoY%, SA)



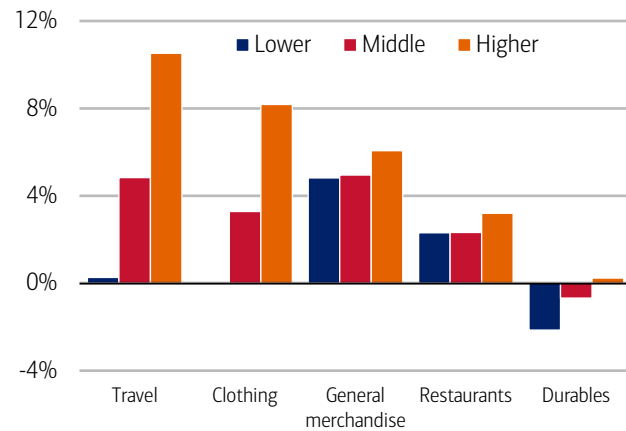
Source: Bank of America internal data

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The largest divergences in discretionary spending growth appeared to be on “bigger ticket” services like travel, perhaps reflecting lower-income households’ hesitancy around vacation plans given uncertainty over wage growth and gas prices (Exhibit 9). It could also be that the boost from tax refunds, which was smaller for lower-income households, is beginning to fade. The 7-day moving average of card spending by income suggests that lower-income households were further easing back on their discretionary purchases relative to higher-income households over the course of April (Exhibit 10).

Exhibit 9: Higher-income households significantly outpace middle- and lower-income households' spending growth on travel and clothing

Spending per household, based on Bank of America card data, for select categories by household income tercile (April 2026, YoY%, SA)



Source: Bank of America internal data

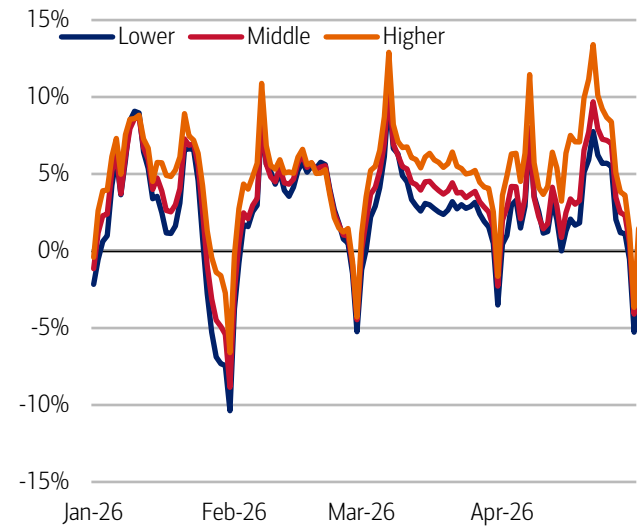
Note: Durables excludes electronics but includes building materials, furniture and autos.

Travel includes airlines and lodging.

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Exhibit 10: The “K” shape in discretionary spending widened throughout March and April

Discretionary spending per household, based on Bank of America data, by household income tercile (7-day moving average, YoY%, non-SA)



Source: Bank of America internal data

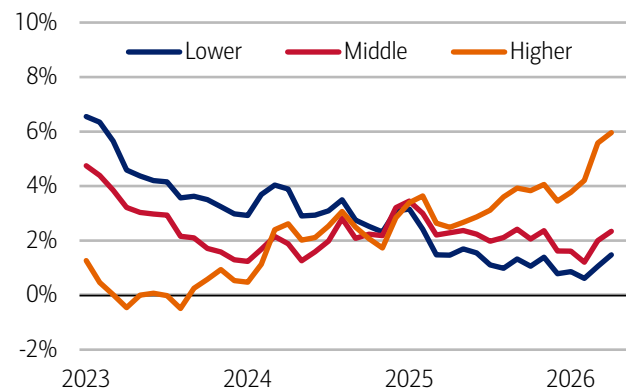
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Another driver of the divergence in spending growth is likely the continued “K” shape in wage growth. After-tax wage growth for higher-income households continued to improve, reaching 6.0% YoY in April – the fastest pace in almost five years – up from 5.6% in March, according to Bank of America consumer deposit account data (Exhibit 11). Middle- and lower-income households also saw modest upticks in growth, to 2.3% and 1.5% YoY, respectively, but their wage growth continued to lag. Even within the higher-income cohort, it appears wage growth is skewed towards those with the highest income – the top 5% of households by income saw wage growth up 10.0% YoY in April (for more, read our publication: [The Institute Employment Report: April 2026](#)).

The wage growth gap between higher- and lower- income households remained at its widest margin since the series began in 2015. The lower absolute dollar-level of their after-tax wages and salaries, combined with slower wage growth, means that lower-income households have seen just enough growth in their wages over the last year to cover the increase in gas spending in April. Meanwhile, higher-income groups’ wage increases have offset higher gas spending nearly seventeen-fold (Exhibit 12).

Exhibit 11: In April, higher-income households’ after-tax wage growth rose to 6.0% YoY, while lower-income households’ wage growth was 1.5% YoY

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (3-month moving average, YoY%, SA)

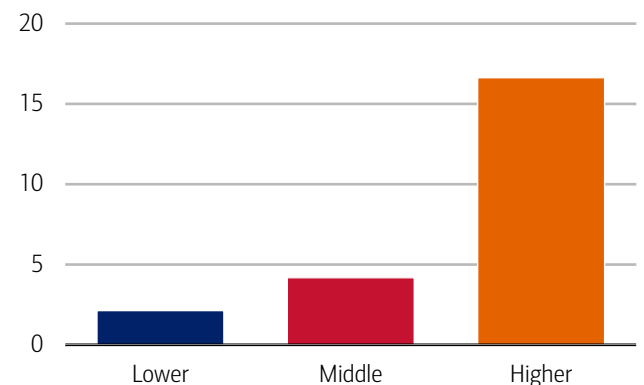


Source: Bank of America internal data

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Exhibit 12: Lower-income households’ after-tax wage increases barely offset average increases in gas spending

After-tax wage and salary increase by household income tercile compared to average per household increase in gasoline spending (April 2026, SA, ratio)



Source: Bank of America internal data

Note: The difference in wages is based on the 3-month moving average while gas spending differences are monthly.

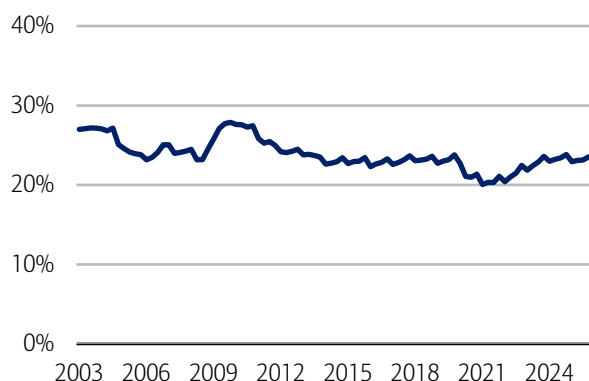
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Credit, tax refunds and deposits still provide some buffer against higher gas prices

Besides relying on wage growth, households can also support spending by leaning more on credit (read more in [Do consumers have wiggle room to absorb higher gas prices?](#)). According to Federal Reserve data, aggregate credit card balances relative to limits remain broadly in line with the late-2010s, suggesting households overall may have some capacity to borrow (Exhibit 13). That said, among revolvers (those that carry a credit card balance every month as opposed to paying it off), Bank of America internal data through April suggests that lower-income households look relatively more constrained, with their utilization levels most elevated versus 2019 levels, despite some recent easing (Exhibit 14).

Exhibit 13: Overall average card utilization is close to the pre-Covid period...

Overall US credit card balances relative to limits as reported by Federal Reserve Bank of New York (quarterly, %)

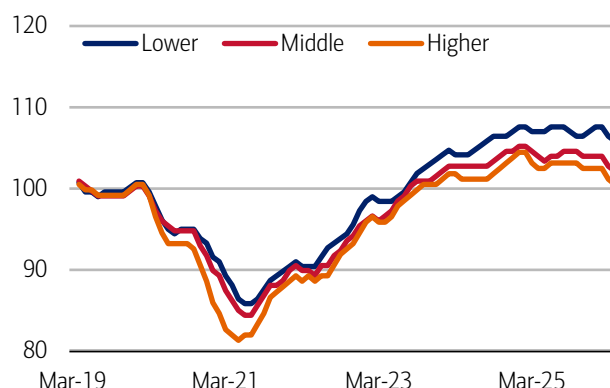


Source: Federal Reserve Bank of New York

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Exhibit 14: ...but there was less wiggle room for lower-income households in April 2026

Median credit card utilization for credit card "revolvers" by income tercile (monthly, index 2019 average = 100, 3-month moving average)



Source: Bank of America internal data

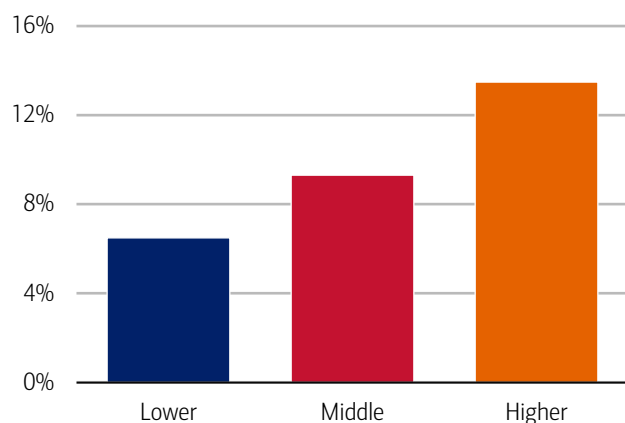
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Larger tax returns are also likely to provide some support for consumers, although they have somewhat skewed towards higher-income households (Exhibit 15).

As tax season comes to an end, what have households done with the money so far? Comparing Bank of America internal data on spending in the three weeks before to the three weeks after a tax refund, along with changes in deposit levels from January to April, we can estimate that a fairly small percentage (c. 20%) of overall refunds have actually been spent so far. And, notably, consumers appear to have saved almost half of what they received (Exhibit 16).

Exhibit 15: Average refunds continued to be up for all income cohorts, though most for higher-income households

Average tax refund by household income tercile through April 24 compared to similar period last year (aggregate, YoY%)

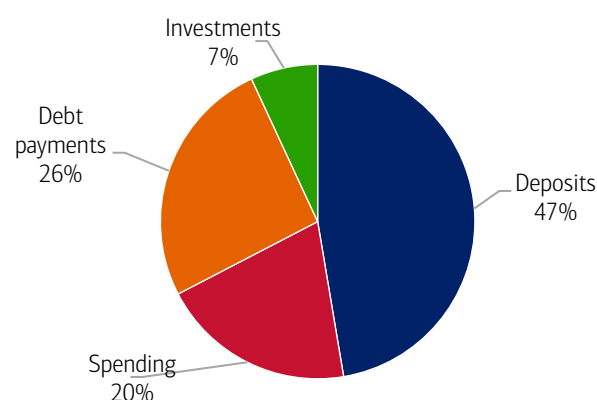


Source: Bank of America internal data

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Exhibit 16: Nearly half of tax refunds are saved in deposit accounts

Per household payment increases by select categories (sum of three weeks after receipt of tax refund minus sum of three weeks before tax refund) and per household change in deposits (April – January)



Source: Bank of America internal data

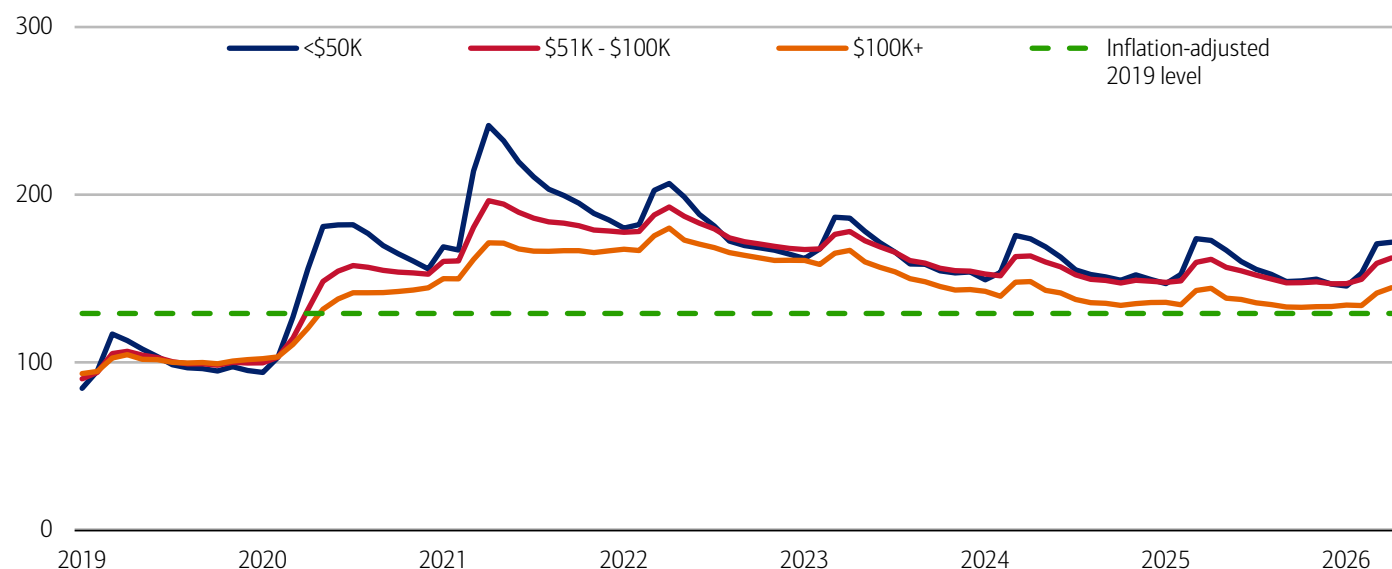
Note: Total refund activity is calculated using the sum of the delta in payments and deposits using the time periods above. Shares are calculated from this total.

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This is consistent with the rise in median deposits between January and April, as seen in most years, including in 2026 (Exhibit 17). These elevated deposits are something some consumers could potentially draw upon to support their spending in coming months.

Exhibit 17: Household savings are rising as tax refunds are deposited, but are down significantly from the peaks five years ago

Monthly median household savings and checking balances by income for a fixed group of households through April 2026 (monthly, index 2019 = 100)



Source: Bank of America internal data

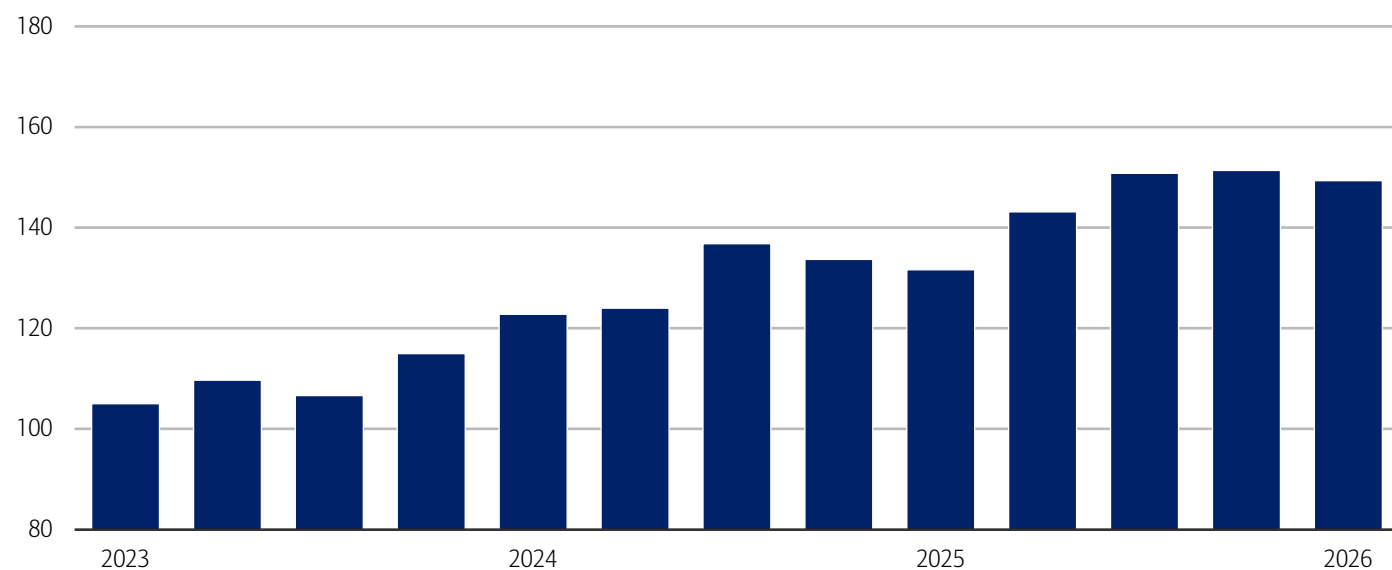
Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through April 2026.

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While shorter-term savings may offer a relatively limited runway to households, internal data on Bank of America 401(k) plan participants shows that average balances, as of the first quarter of 2026, are up significantly over the past few years (Exhibit 18). So, it's possible that some consumers have longer-term savings they could tap into, if needed (read more in [Bank of America's 2026 Q1 Participant Pulse](#)).

Exhibit 18: The average account balance for 401(k) plan participants in Q1 2026 is up over the past two years

Average account balances for Bank of America 401(k) plan participants (quarterly, index Q4 2022 = 100)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to childcare, rent, insurance, insurance, public transportation, and tax payments. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics, furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

For analysis looking at higher value transactions (including durables), we consider a value per transaction threshold estimated with reference to the top 30% of transactions by value in 2024. The share of higher value transactions is then the number of transactions above this threshold as a percentage of total transactions over time.

Participant Pulse monitors plan participants' behavior in Bank of America clients' employee benefits programs, which comprise more than 4 million total participants with positive account balances as of March 31, 2026.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Major grocery categories include sugar and sweets, juices and other non-alcoholic beverages, bakery products, processed fruits and vegetables, fresh fruit and vegetables, coffee and tea, fats and oils, milk, cereal and cereal products, other, cheese, and meats, poultry and fish, Other includes soups, snacks, frozen and freeze-dried prepared foods, and spices, seasonings, and condiments.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995
3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

The Institute Employment Report: April 2026

06 May 2026

Key takeaways

- Payrolls growth in Bank of America customer deposit account data was strong in April. An estimate of jobs growth suggests the February/March rebound strengthened to 1.9% year-over-year (YoY), while growth in unemployment payments eased further - pointing to steady underlying labor market progress.
- But the labor picture is nuanced: while official jobs growth was solid in March, there are mixed signals beneath the surface. In Bank of America data, small business payrolls growth was negative in March, even as some sectors - like construction and manufacturing - showed signs of ramping up hiring.
- The divergence in wage gains remains very wide. After-tax wage growth for higher-income households was 6.0% YoY in April, while middle- and especially lower-income households saw much weaker gains.

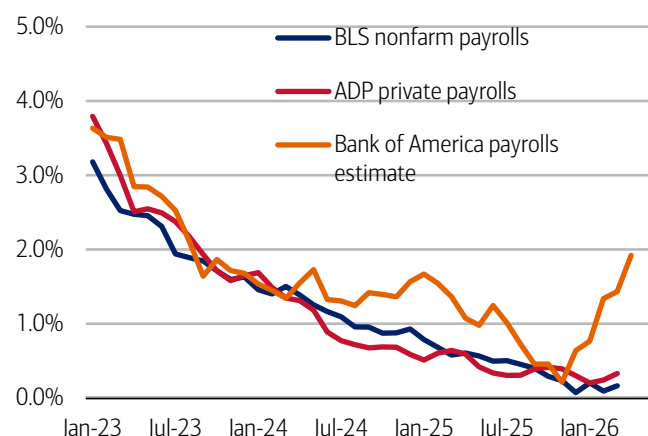
April saw steady progress in payrolls growth...

Bank of America data suggests payrolls growth increased further in April, while growth in unemployment payments continued to slow. Additionally, there remains a large “K” shape in wage growth.

We use Bank of America consumer deposit data to estimate a payrolls series by looking at how the number of customer accounts receiving a paycheck is changing (see Methodology). This data can be fairly noisy, partly due to seasonal variation. However, looking at the three-month moving average, Exhibit 1 shows that our measure rose sharply to 1.9% year-over-year (YoY) in April, up from 1.4% in March 2026, and accounted for the highest growth in two-and-a-half years.

Exhibit 1: Bank of America account data indicates payrolls growth accelerated in April 2026

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



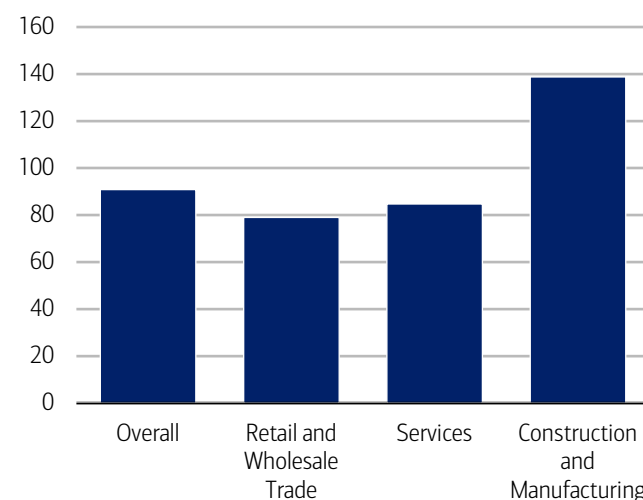
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: Small construction and manufacturing firms' hiring payments were nearly 40% above the 2023 average level in March

Small business payments to hiring firms by industry in March (indexed, 2023 average = 100, 3-month moving average)



Source: Bank of America internal data

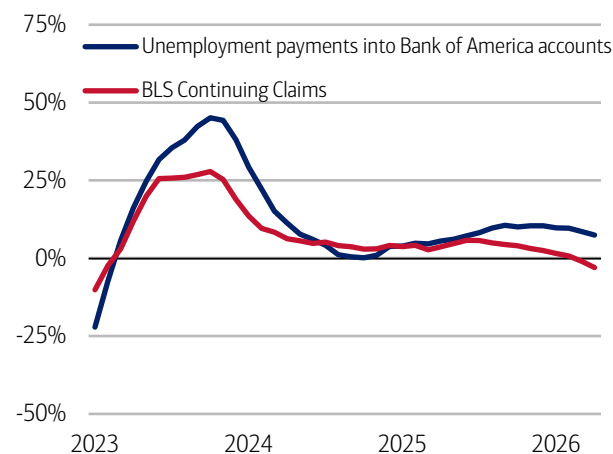
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The Bank of America payrolls estimate continues to track significantly stronger jobs growth than the official Bureau of Labor Statistics (BLS) data. That said, BLS payrolls growth was also strong in March, rising by 178K month-over-month (MoM).

It remains to be seen whether the recent increase in oil prices and the associated pass-through to transport costs will weigh on employment growth going forward. Bank of America data indicates that small business payrolls growth was negative in March, marking three consecutive months of declines. But the overall employment situation is nuanced – with signs that small firms in construction and manufacturing were ramping up hiring as of March 2026 (Exhibit 2). For more, read publication: [Small Business Checkpoint: One shock after another](#).

Exhibit 3: Unemployment payment growth continued to decline in April

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))

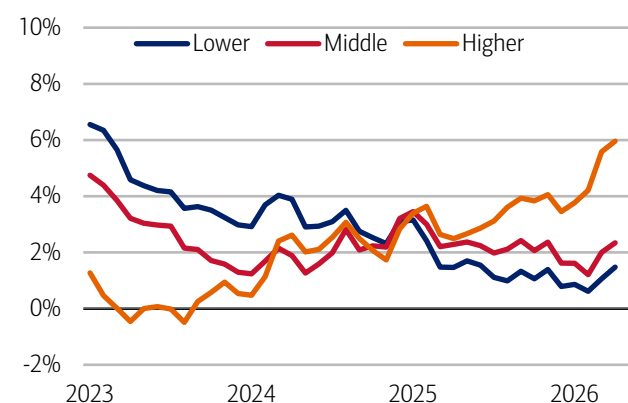


Source: Bank of America internal data, Bloomberg

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Exhibit 4: In April, higher-income households' after-tax wage growth rose to 6.0% YoY, while lower-income households' wage growth was 1.5% YoY

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Alongside rising jobs growth, Bank of America data on unemployment payments into customer accounts continues to show easing growth. In April, unemployment payments growth dropped to 7.4% YoY (Exhibit 3). BLS Continuing Claims data has also been slowing, with the YoY rate measuring below zero in April.

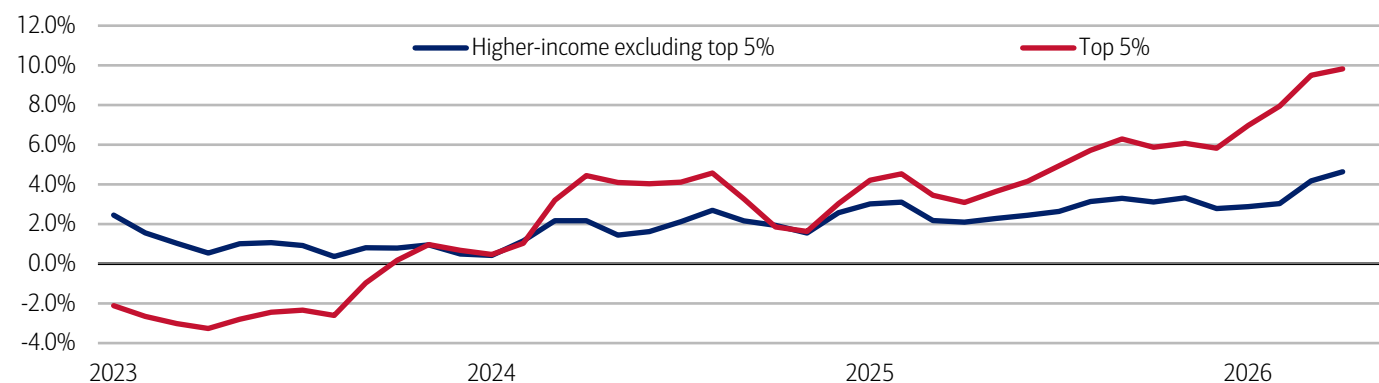
Higher-income households have experienced much stronger after-tax wage growth

There remains a significant gap in after-tax wage growth between income groups (Exhibit 4). In April, higher-income households saw their after-tax wage growth rise to 6.0% YoY – the highest rate we've observed since August 2021. In fact, even within this cohort there is a divergence, with after-tax wage growth for the highest 5% of households by income stronger than that of the rest of the higher-income cohort (Exhibit 5).

Middle- and lower-income households also saw increases in their after-tax wage growth in April, to 2.3% YoY and 1.5% YoY, respectively. But the gap between these cohorts and higher-income households remains at its widest level since our data series began in 2015.

Exhibit 5: Even within the higher-income tercile, there is a "K" in wage growth

After-tax wage and salary growth for higher-income households excluding the top 5%, and the top 5% of households, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Estimate of payrolls growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

Additional information about the methodology used to aggregate the data is available upon request.

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